

AI Factor R&D Experience so Far

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- **Rank & Date on Small Cap Universes** — LightGBM with buy and sell rules on the portfolio strategy level. Clean, stable, and easy to implement.
- **ZScore & Date on Large Cap Universes** — ExtraTrees with and without buy rules.
- **ZScore & Date on Small Caps (Unregularized LightGBM)** — Very spiky, but works reasonably well with 30–50 stocks. The volatility is high, but the law of large numbers does its job.
- **ZScore & Date on Small Caps (Regularized LightGBM or XGB)** — Smoother, more stable, and better suited for concentrated 20–30 stock portfolios.
- **ZScore & Date on Small Caps (Regularized LightGBM or XGB combined with ExtraTrees in one ranking system, 50/50)** — 10–30 stocks, relatively low turnover (~250% annually). Great balance between concentration and capacity.
- **ZScore & Date on Small Caps — targeting the 0.1% outliers** — Super high turnover (750%–1,400% annually). These 10–20 Stock models beat P123's variable slippage model, which is a strong validation of the signal strength (IP of this outlier models will stay with me ;-))

Source: https://x.com/GfI_Himmelreich/status/2086036103924986045

Archived text of the X post.